

ANATOMY OF A CRISIS

On May 2, 2023, Go First filed for bankruptcy; the company held P&W's faulty engines responsible for its woes

P&W engines need frequent maintenance and underperform in hot, humid, and salty air; they have even been blamed for Kingfisher Airlines' downfall

IndiGo, another large P&W customer, switched to CFM engines by 2019, while Go First failed to develop a risk mitigation plan despite engine difficulties since 2012

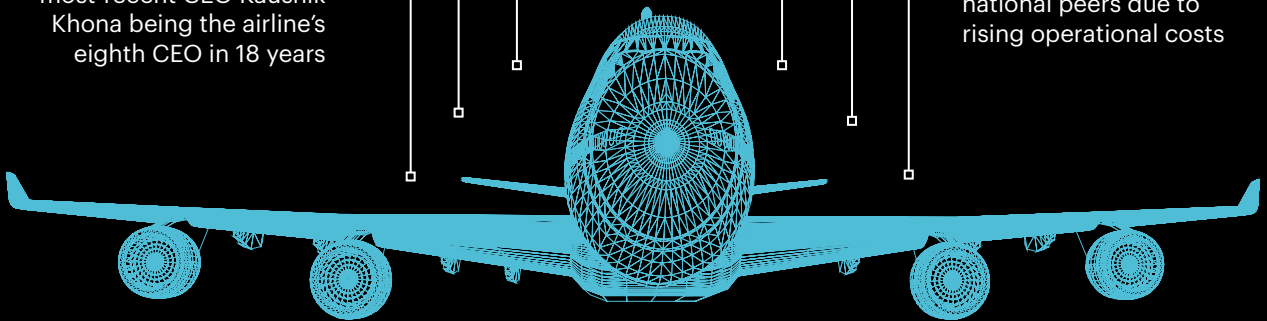
A high attrition rate and frequent salary delays have also afflicted the airline. Routine changes at senior management level, with the most-recent CEO Kaushik Khona being the airline's eighth CEO in 18 years

The carrier has not provided a specific timetable for when it would resume services

While lessors attempt to reclaim their planes, the carrier's suspended board and Interim Resolution Professional have filed caveat petitions in the Supreme Court

The crisis may have serious repercussions for other carriers, as it has created a negative perception of the Indian market

Unless the government steps in to mollify global OEMs and lessors, Indian carriers may again start losing out to their international peers due to rising operational costs



Source Industry, BT Research

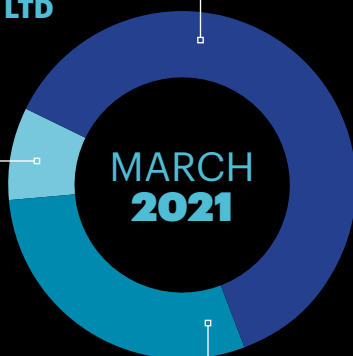
EXIT MODE

Shareholding pattern of Go Airlines (India) Ltd, owner of Go First

GO INVESTMENTS & TRADING PVT. LTD
62.21%

OTHERS
8.50%

NUSLI WADIA
29.29%

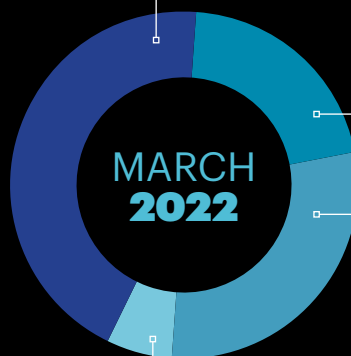


GO INVESTMENTS & TRADING PVT. LTD
44.02%

NUSLI WADIA
20.73%

BAYMANCO INVESTMENTS LTD
29.24%

OTHERS
6.01%



Source ProwessIQ